

Town of Westhampton
Town Hall
1 South Road
Westhampton, MA 01027

Finance Committee Meeting Minutes
Tuesday, August 4, 2015

The meeting convened at 7:00 PM

Present:

Finance Committee Members: Ellice Gonzalez, Jackie Brodeur, Mary Cleary, Thomas Cleary, Maryanne Duggan, Celeste Whiting, Ed Zawacki.

1. Call to order
2. Review minutes of 7/21/15. Modify one point—Joe suggested a debt authorization, rather than a debt exclusion. Vote to accept as amended 7-0-0.
3. Review Correspondence—Received the Beacon
4. Old Business—We agreed to transfer from the Reserve Fund to cover the Tax Collector Audit with the understanding that we would replenish that amount to the Reserve Fund. The Selectboard responded with a letter including articles regarding the Tax Collector Audit and actions concerning the \$60,000 budget deficit/matching funds.

Voted to transfer \$4,250 from Reserve Fund to the Selectboard Expenses for the Tax Collector Audit 7-0-0.
5. Ellice reports that there is no update on potential new growth.
6. New Business: Strategies to address continuous capital funds shortfall and balancing the budget.

Discussed whether this is a task the committee should take on at this time. We decided it is worthwhile to move forward with it at this time.

Reviewed draft of goals and strategies for **budget planning**.

Strategy: Educate. Joe Boudreau offered to conduct a workshop for FinCom and others to present information on budget information and budget strategies. We will look into holding the workshop in the library and invite the department heads and post in Belltower.

We discussed the step of inviting the select board to a FinCom meeting to let them know FinCom's goals. We will postpone that until we have a better sense of when to do that and what we will present.

Strategy: Understand the budget more clearly. Educate ourselves on the encumbered accounts. Maryanne volunteered to contact Patty Cotton (Town Treasurer) to ask for information on the encumbered accounts.

Discussion of how to anticipate upcoming increased expenses before budget is requested. For example, we learned at Town Meeting that the fee for the Hilltown Resource Managing Group is likely to increase by a minimum of \$1800. According to by-laws, departments should present draft budgets by January 15. The benefit of having preliminary budgets would help us with preplanning and communicating more information and direction when it comes to department budget letters in the spring. Also discussed need for more information about setting salaries. Celeste will ask select board for information about salaries.

Ellice will draft letter requesting upcoming anticipated increases from departments by January 15.

Strategy: Review existing assumptions about budget and its presentation. Separate from putting the budget together, we should look at each budget line item and determine its purpose and necessity. Tom and Jackie will do a line item review of the budget and report back to us.

We also need to separate operating and capital expenses more clearly. We will revisit conventions of how to present operating/capital expenses after Joe's budget workshop.

Existing assumptions about the budget include automatic increases of 2.5% and using free cash to float the budget. We need to revisit these assumptions.

Reviewed draft of goals and strategies for **capital planning**.

Strategy: Resurrect Capital Planning Committee. FinCom needs to nominate a person to sit on the Capital Planning Committee. Reviewed town bylaws regarding the Capital Improvement Planning Committee. Discussed inviting John Trickey from Pelham to discuss Capital Planning.

7. Next meeting: Tuesday, September 15 at 7:00 pm.

Adjourn at 8:50.

Respectfully Submitted
by Mary Cleary